Asian Paints Ltd

An integrated three-statement financial model, FY22A–FY31E

FY22A–FY26A actuals · FY27E–FY31E forecast · ₹ crore · Excel 2016

BASE CASE SHOWN



Educational and portfolio project, not investment advice.
Independent work; not endorsed by the company.

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In the Base case I project FY31E revenue of ₹52,285 crore and PAT of ₹6,543 crore, with scenarios and a simulation around that

1. Revenue grew from ₹29,101 crore to ₹35,584 crore over FY22–FY26.
2. EBITDA margin peaked at 21.4% in FY24; it was 18.8% in FY26.
3. ROCE fell from 34.2% to 23.0% over FY24–FY26.
4. Base case: FY31E PAT of ₹6,543 crore; Bull +23%, Bear −22%.
5. Simulation: 80% of FY31E EBITDA falls in ₹8,908–10,608 crore.

₹52,285 cr
FY31E revenue

₹9,840 cr
FY31E EBITDA (18.8% margin)

₹6,543 cr
FY31E profit after tax

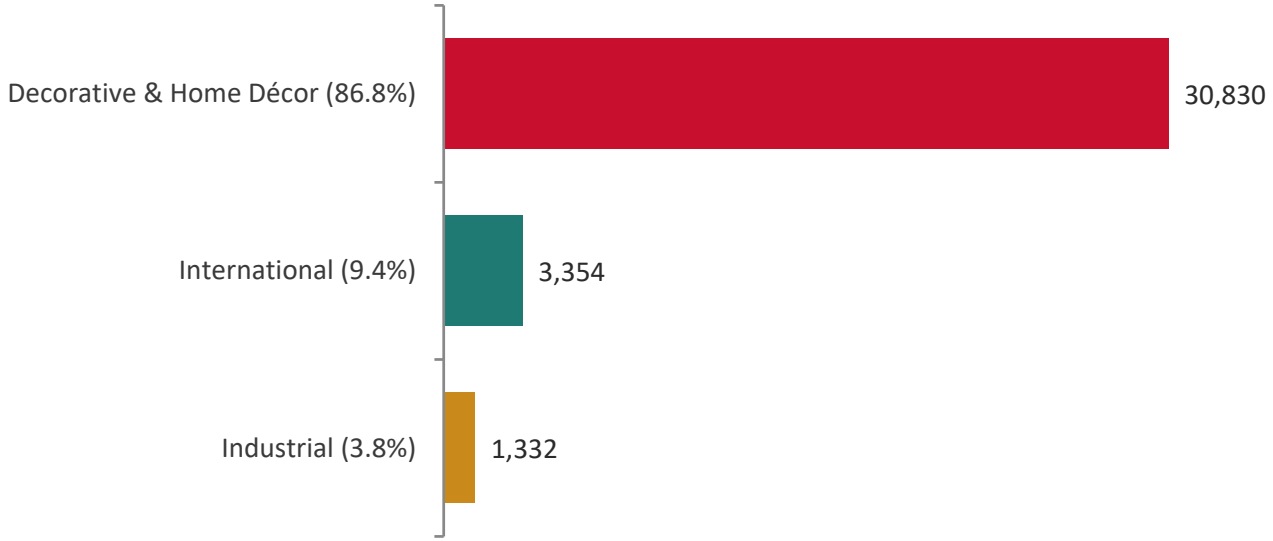
₹67.14
FY31E EPS

Source: Asian Paints annual reports FY22–FY26 (consolidated); author's model

Scenario: Base case

Decorative and Home Décor earn 87% of FY26 revenue; raw materials, people and working capital decide how much becomes profit

FY26 segment revenue, ₹ crore



SO WHAT Decorative and Home Décor are the engine, so the Base forecast leans on that revenue.

HOW A BUSINESS DRIVER REACHES THE MODEL

Revenue growth
→ Revenue_Model

Operating costs and EBITDA margin
→ Income_Statement

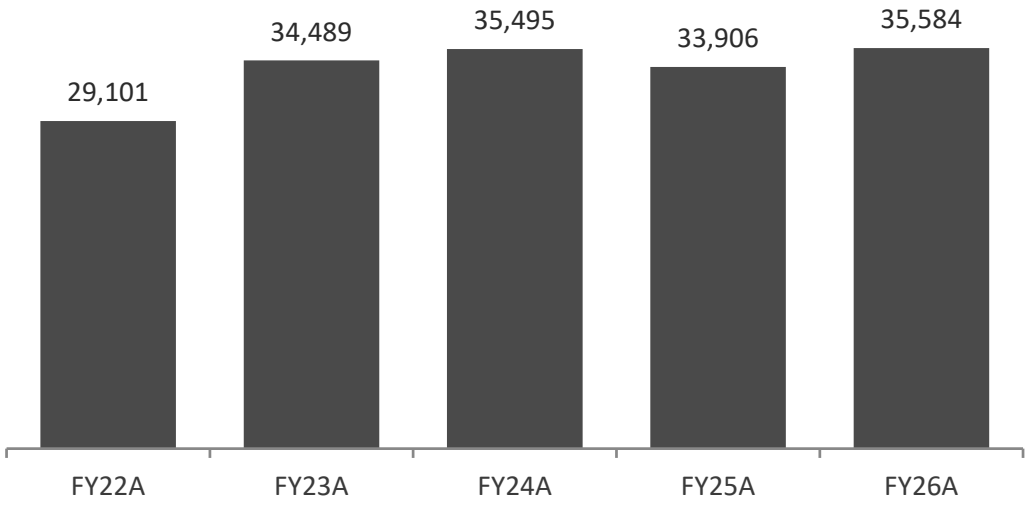
Inventory, receivable, payable days
→ Supporting_Schedules

Capex / revenue
→ Cash_Flow

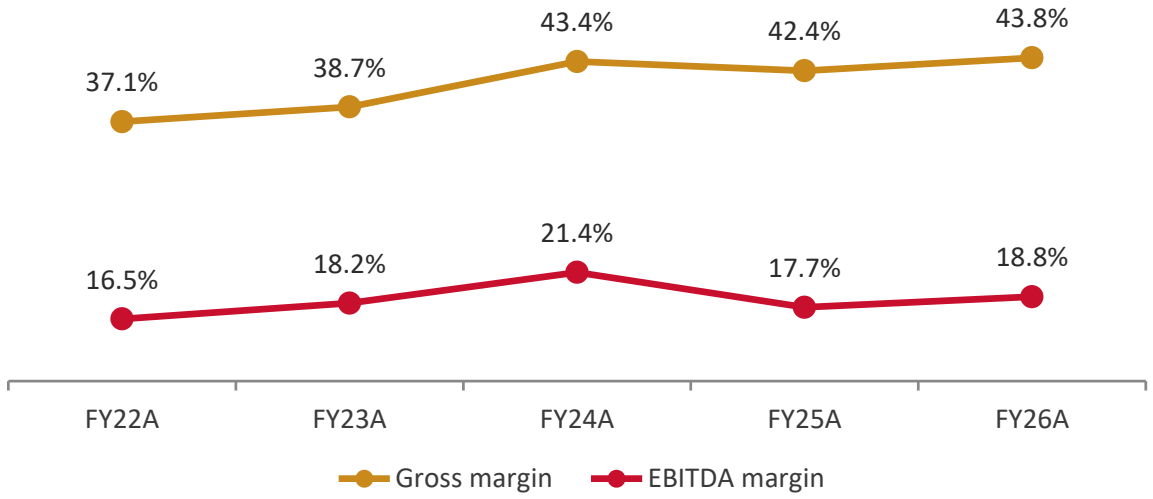
Source: author's model, Business Model sheet (FY26 segment revenue)

EBITDA margin fell from 21.4% in FY24 to 18.8% in FY26 while gross margin held near 44%: employee and other costs absorbed the gain

Revenue from operations, ₹ crore



Gross margin and EBITDA margin

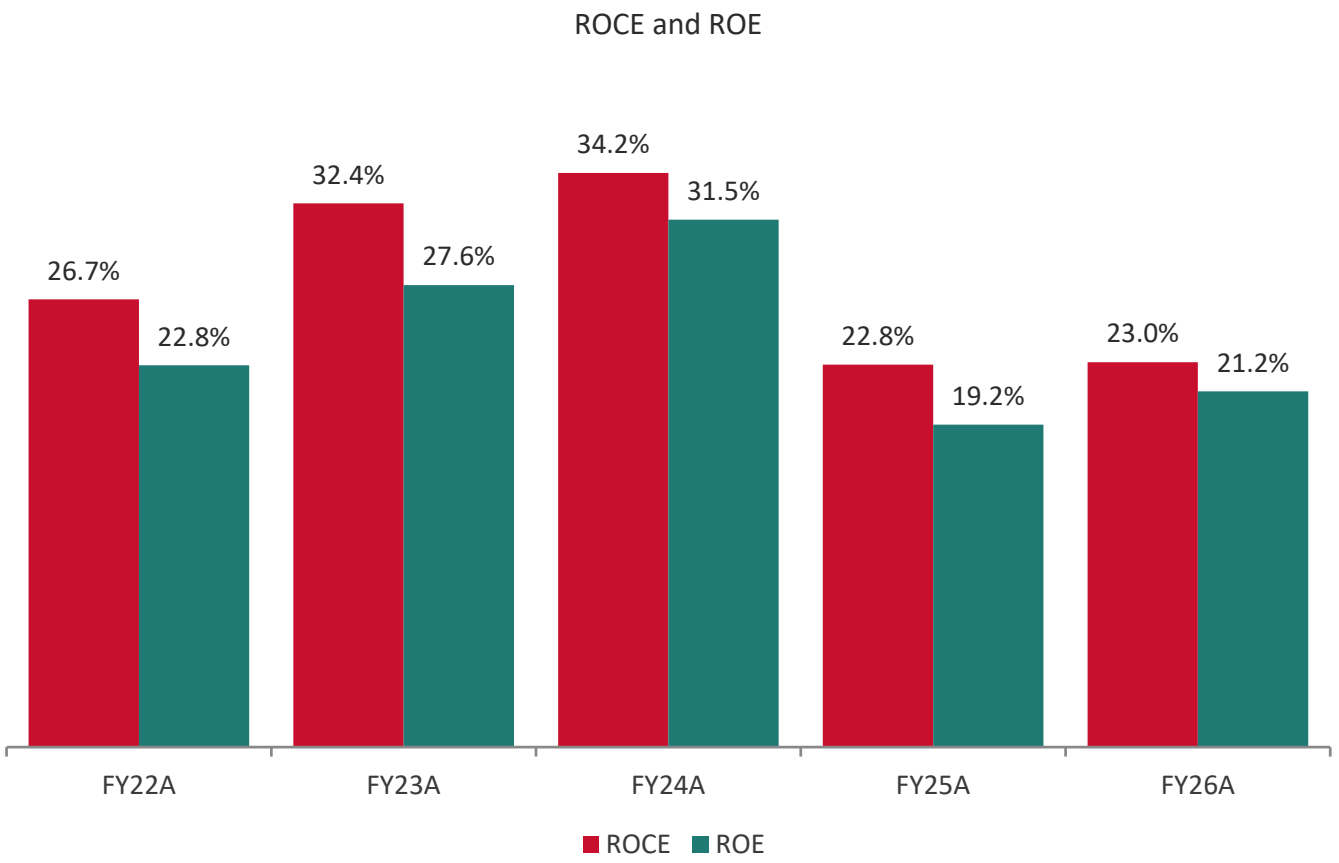


SO WHAT FY24 to FY26: gross margin +0.4 points, but employee costs +1.3 and other expenses +1.6 points of revenue, so EBITDA margin fell about 2.5 points.

Source: Asian Paints annual reports FY22–FY26 (consolidated); author's model

Scenario: Historical actuals

ROCE fell from 34.2% in FY24 to 23.0% in FY26 as EBIT margin dropped 3.6 points and asset turnover slowed to 1.10x

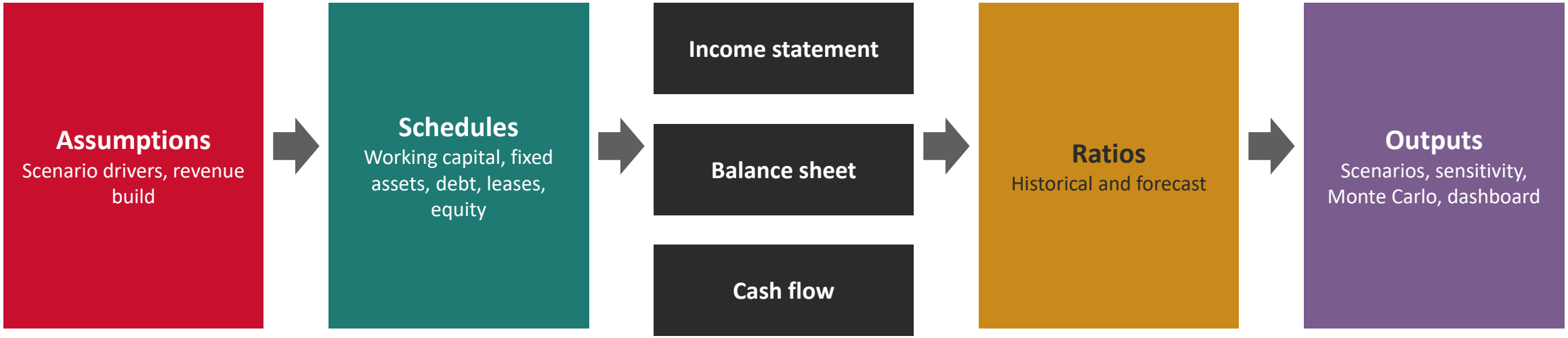


FY24 → FY26	FY24A	FY26A
EBIT margin	19.0%	15.4%
Total asset turnover	1.27x	1.10x
ROCE	34.2%	23.0%
ROE	31.5%	21.2%

SO WHAT Lower EBIT margin on a heavier asset base explains the drop in returns.

Source: Asian Paints annual reports FY22–FY26 (consolidated); author's model

The model flows from assumptions to schedules, three statements and ratios, and its checks equal zero in every year



Integrity checks balance sheet · cash flow · debt · fixed assets · leases · equity roll-forwards: zero in every year

Master status: MODEL OK

Source: author's model (Excel 2016)

Scenario: Base case

The Base case grows revenue 8% a year and holds EBITDA margin at the FY26 level of 18.8%; Bull and Bear flex eight drivers

Driver	Base	Bull	Bear
Product Revenue Growth	**8%**	11%	5%
Service Revenue Growth	**10%**	12%	7%
Other Revenue Growth	**5%**	7%	2%
EBITDA Margin	**18.8%**	20.0%	17.0%
Inventory Days	**113.7**	108	125
Receivable Days	**45.0**	42	55
Payable Days	**70.4**	75	65
CapEX/ Revenue	**4.5%**	5.0%	4.0%

8.0%
Revenue CAGR, FY26–FY31E

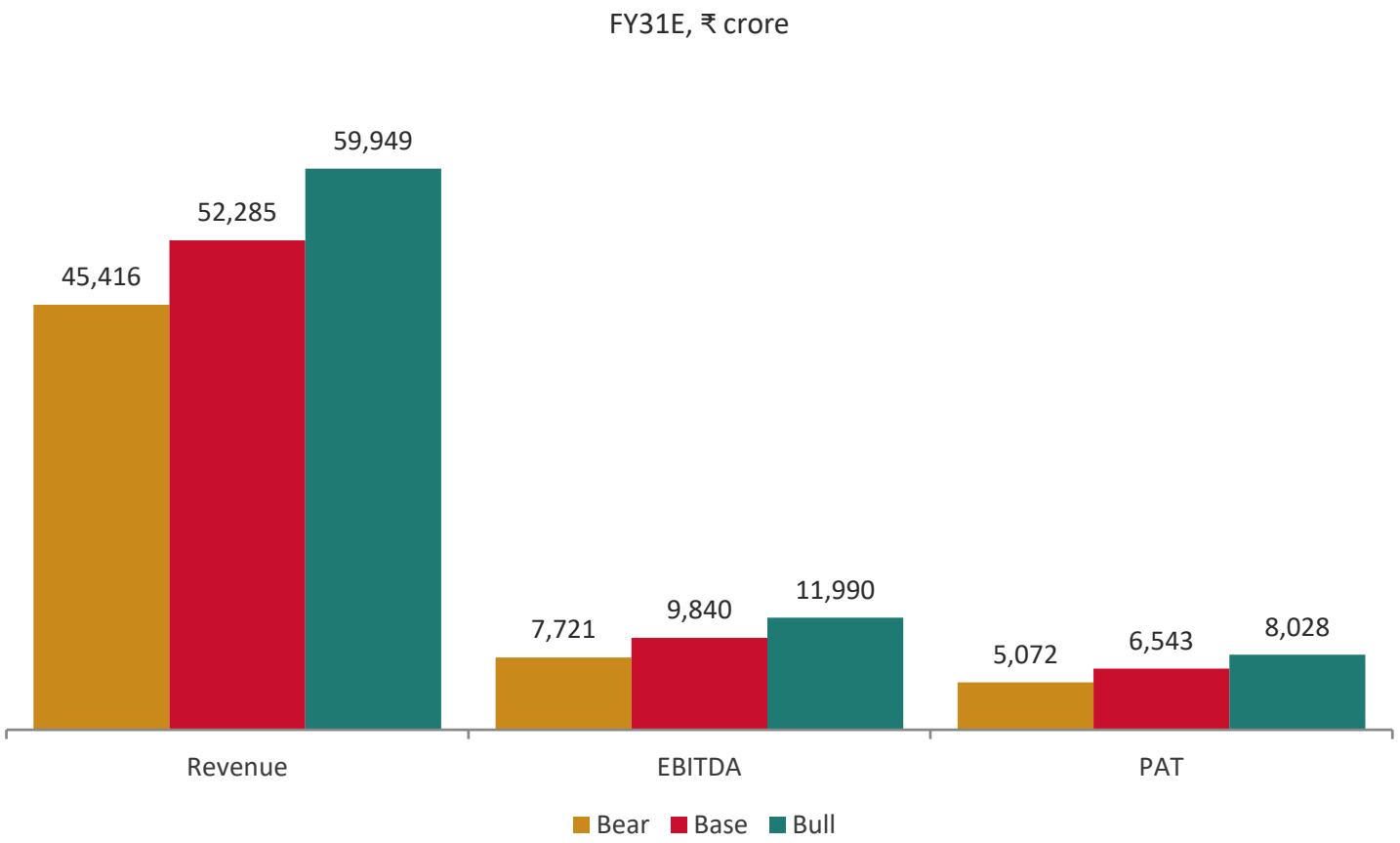
18.8%
EBITDA margin, held flat

SO WHAT Base keeps margin at the FY26 level; it does not assume a return to FY24.

Source: author's model, Scenario & Sensitivity sheet

Scenario: Base case (Bull and Bear shown for comparison)

By FY31E, Base-case PAT reaches ₹6,543 crore; Bull is about 23% higher and Bear about 22% lower



vs Base	Bull	Bear
Revenue	+14.7%	−13.1%
EBITDA	+21.8%	−21.5%
PAT	+22.7%	−22.5%

SO WHAT Profit swings about ±22–23% because margin and growth move together.

Source: author's model, Scenario & Sensitivity sheet

Scenarios: Base, Bull and Bear compared

A point of EBITDA margin moves FY31E EBITDA by ₹450–650 crore; a point of product growth moves it by ₹400–550 crore

Margin ↓ / Growth →	5%	7%	9%	11%	13%
16%	7,272	7,987	8,758	9,588	10,480
17%	7,726	8,486	9,306	10,187	11,135
18%	8,181	8,986	9,853	10,787	11,790
19%	8,635	9,485	10,400	11,386	12,445
20%	9,090	9,984	10,948	11,985	13,100
21%	9,544	10,483	11,495	12,584	13,755
22%	9,999	10,982	12,043	13,184	14,410



₹9,840 cr

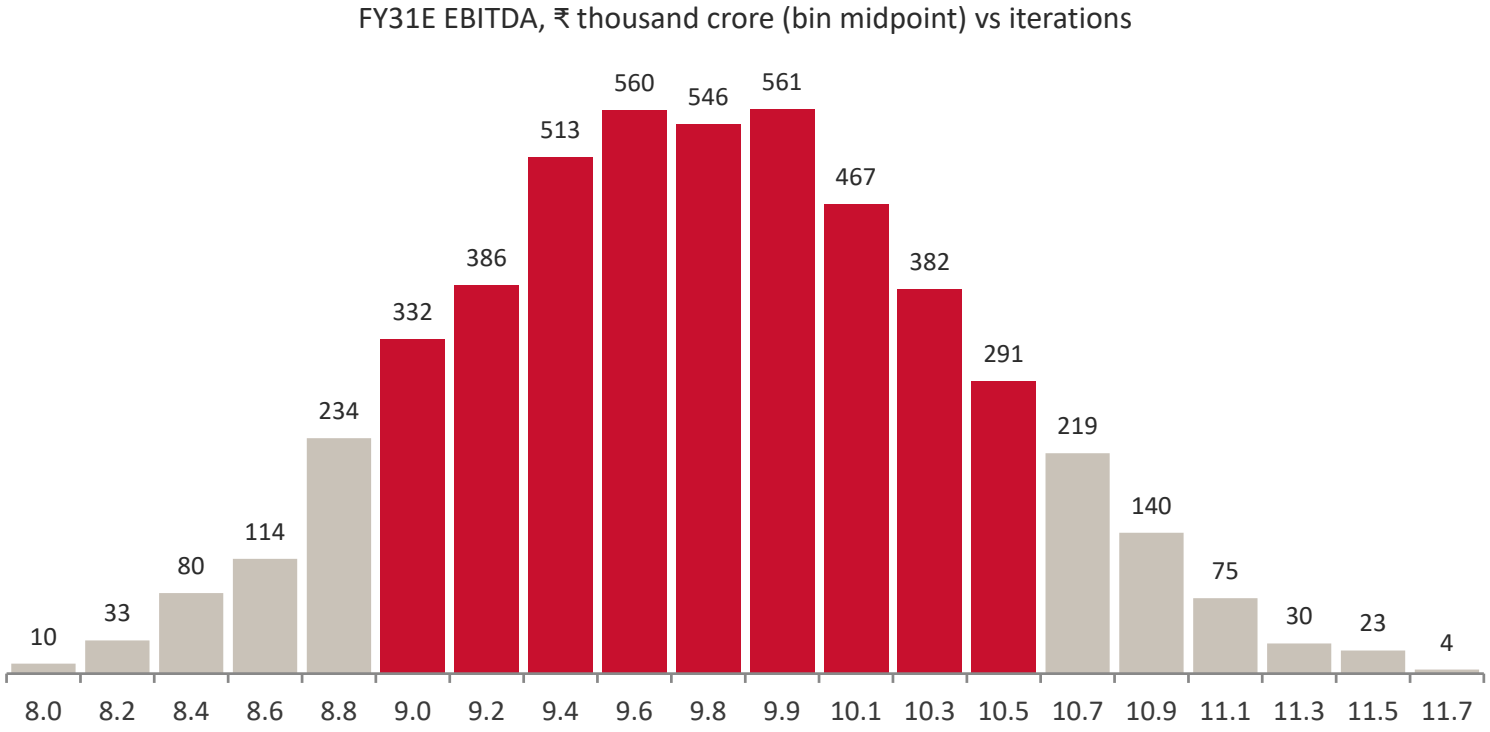
Base FY31E EBITDA (18.8%, 8%)

SO WHAT FY31E EBITDA, ₹ crore. Darker cells = higher. Margin moves it more than growth.

Source: author's model, Scenario & Sensitivity sheet (two-variable data table)

Scenario: Base case (other drivers at Base)

Across 5,000 simulated outcomes, 80% of FY31E EBITDA values fall between ₹8,908 crore and ₹10,608 crore



Triangular distributions: Bear / Base / Bull = minimum / most likely / maximum · 5,000 iterations · 8 drivers · red bars = P10 to P90

FY31E EBITDA	₹ crore
P10	8,908
P50	9,747
P90	10,608
Mean	9,752
Standard deviation	645

SO WHAT Most outcomes cluster near ₹9,750 crore; the Base case sits close to the centre.

Source: author's model, Monte_Carlo Snapshot sheet

Scenario: Simulation around Base (Bear–Bull range)

The balance sheet and cash flow reconcile to zero in every year; the simplifications I made set the limits of the forecast

Check	Result
Balance sheet check	0 in all years
Cash flow reconciliation	0 in all years
Debt, fixed asset, lease, equity roll-forwards	0 in all years
Master status	MODEL OK

LIMITATIONS AS BUILT

- Dividend timing is simplified
- Forecast exceptional items set to zero
- EBITDA is before exceptional items
- Base EBITDA margin held flat at 18.8%

GAP Forecast operating and free cash flow are not shown: the cash-flow schedule is under review.

Source: author's model, Cover Page and check rows

Scenario: Base case

I learned to link drivers to statements, test them under uncertainty and explain the range; DCF and a football field come next

What I learned

- Link operating drivers to all three statements
- Check every schedule so the model reconciles
- Test forecasts with scenarios, sensitivity, simulation

How it maps to FP&A

- Driver-based forecasting and planning
- Scenario and sensitivity analysis
- Explaining a range, not one number

Next steps

- Add a DCF valuation
- Add a football field chart
- Finish the cash-flow review

Source: author's model and project work

Scenario: Base case

A1 | Historical ratios: profitability and returns peaked in FY24, while liquidity improved to 2.2x by FY26

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Gross Profit Margin	37.1%	38.7%	43.4%	42.4%	43.8%
EBITDA Margin	16.5%	18.2%	21.4%	17.7%	18.8%
EBIT Margin	13.7%	15.7%	19.0%	14.7%	15.4%
PAT Margin	10.6%	12.2%	15.7%	10.9%	12.4%
Return on Assets (ROA)	14.2%	17.2%	19.9%	12.3%	13.5%
Return on Equity (ROE)	22.8%	27.6%	31.5%	19.2%	21.2%
Return on Capital Employed (ROCE)	26.7%	32.4%	34.2%	22.8%	23.0%
Current Ratio	2.00x	2.09x	2.06x	2.09x	2.21x
Quick Ratio	1.19x	1.31x	1.37x	1.26x	1.58x
Debt-to-Equity Ratio	0.11x	0.12x	0.13x	0.11x	0.18x
Debt Ratio	0.07x	0.07x	0.08x	0.08x	0.11x
Interest Coverage Ratio	41.79x	37.40x	32.81x	21.94x	27.98x
Inventory Turnover	3.68x	3.42x	3.31x	3.09x	3.21x
Receivables Turnover	8.99x	8.11x	7.45x	7.37x	8.11x
Payables Turnover	5.20x	5.50x	5.28x	5.14x	5.03x
Total Asset Turnover	1.34x	1.41x	1.27x	1.12x	1.10x
Inventory Days	99.2	106.7	110.2	118.2	113.7
Receivable Days	40.6	45.0	49.0	49.5	45.0
Payable Days	70.1	66.3	69.1	71.1	72.5
Cash Conversion Cycle	69.7	85.4	90.1	96.7	86.2
Earnings Per Share (₹/Share)	31.59	42.83	56.95	38.25	45.12
Dividend Payout Ratio	58.2%	47.1%	46.7%	85.6%	56.1%

Note: inventory and payable days are defined differently on the ratio sheets and the Assumptions sheet, so the two sets differ (e.g. FY26A payable days 72.5 vs 70.4).

Source: author's model, ratio sheets

A2 | Base-case ratios: margins hold flat, ROCE eases from 22.2% to 21.2%, and EPS rises to ₹67.14 by FY31E

Ratio	FY27E	FY28E	FY29E	FY30E	FY31E
Gross Profit Margin	43.8%	43.8%	43.8%	43.8%	43.8%
EBITDA Margin	18.8%	18.8%	18.8%	18.8%	18.8%
EBIT Margin	15.4%	15.4%	15.4%	15.4%	15.4%
PAT Margin	12.6%	12.6%	12.6%	12.5%	12.5%
Return on Assets (ROA)	13.4%	13.4%	13.4%	13.3%	13.3%
Return on Equity (ROE)	21.2%	20.8%	20.4%	20.1%	19.7%
Return on Capital Employed (ROCE)	22.2%	21.9%	21.7%	21.4%	21.2%
Current Ratio	2.27x	2.40x	2.46x	2.60x	2.66x
Quick Ratio	1.48x	1.72x	1.63x	1.86x	1.78x
Debt-to-Equity Ratio	0.17x	0.17x	0.16x	0.16x	0.16x
Debt Ratio	0.11x	0.11x	0.11x	0.11x	0.11x
Interest Coverage Ratio	23.92x	24.36x	24.63x	24.74x	24.72x
Inventory Turnover	3.21x	3.21x	3.21x	3.21x	3.21x
Receivables Turnover	8.11x	8.11x	8.11x	8.11x	8.11x
Payables Turnover	5.03x	5.03x	5.03x	5.03x	5.03x
Total Asset Turnover	1.07x	1.07x	1.07x	1.06x	1.06x
Inventory Days	113.7	113.7	113.7	113.7	113.7
Receivable Days	45.0	45.0	45.0	45.0	45.0
Payable Days	72.5	72.5	72.5	72.5	72.5
Cash Conversion Cycle	86.2	86.2	86.2	86.2	86.2
Earnings Per Share (₹/Share)	49.62	53.52	57.73	62.26	67.14
Dividend Payout Ratio	55.0%	55.0%	55.0%	55.0%	55.0%

Note: inventory and payable days are defined differently on the ratio sheets and the Assumptions sheet, so the two sets differ (e.g. FY26A payable days 72.5 vs 70.4).

Source: author's model, ratio sheets

A3 | Base-case assumptions hold cost ratios and working-capital days at FY26 levels; capex rises to 4.5% of revenue

Assumption	FY24A	FY25A	FY26A	FY27E (Base)	FY31E (Base)
Revenue Growth	2.9%	-4.5%	4.9%	8.0%	8.0%
Product Revenue Growth	–	–	–	8.0%	8.0%
Service Revenue Growth	–	–	–	10.0%	10.0%
Other Operating Revenue Growth	–	–	–	5.0%	5.0%
Cost of Materials Consumed/ Revenue	44.7%	46.6%	43.2%	43.2%	43.2%
Purchases of Stock-In-Trade/ Revenue	10.9%	11.6%	11.3%	11.3%	11.3%
Change in Inventories/ Revenue	1.0%	-0.6%	1.7%	1.7%	1.7%
Employee Benefits Expense/ Revenue	6.6%	7.7%	7.9%	7.9%	7.9%
Other Expenses/ Revenue	15.5%	17.1%	17.1%	17.1%	17.1%
EBITDA Margin	21.4%	17.7%	18.8%	18.8%	18.8%
Depreciation & Amortisation/ Revenue	2.4%	3.0%	3.5%	3.5%	3.5%
Finance Costs/ Revenue	0.6%	0.7%	0.5%	0.5%	0.5%
Effective Tax Rate	24.4%	27.3%	26.8%	26.8%	26.8%
Inventory Days	110.2	118.2	113.7	113.7	113.7
Trade Receivables Days	49.0	49.5	45.0	45.0	45.0
Trade Payable Days	67.8	71.8	70.4	70.4	70.4
Capital Expenditure/ Revenue	6.2%	5.3%	4.1%	4.5%	4.5%
Dividend Payout Ratio	45.9%	84.6%	55.2%	55.0%	55.0%
Other Income/ Revenue	1.9%	1.7%	2.0%	2.0%	2.0%
NCI/ Consolidated PAT	1.8%	1.1%	1.6%	1.6%	1.6%

Note: inventory and payable days are defined differently on the ratio sheets and the Assumptions sheet, so the two sets differ (e.g. FY26A payable days 72.5 vs 70.4).

Source: author's model, Assumptions sheet

A4 | The 17-sheet workbook runs in one direction, from business model and history to forecast, analysis and dashboard

Sheet	Purpose
Cover Page	Purpose, status, treatments, sources, disclaimer
Business Model	Operations, revenue drivers, cost structure
Historical_Data	Consolidated statements, FY22A–FY26A
Historical_Ratios	Historical ratio analysis
Forecast_Ratios	Forecast ratios, FY27E–FY31E
Assumptions	Operating, financial and forecast assumptions
Revenue_Model	Revenue drivers and projections
Income_Statement	Historical and projected P&L
Balance_Sheet	Historical and projected balance sheet

Sheet	Purpose
Cash_Flow	Historical and projected cash flow
Debt_Schedule	Debt balances, repayments, interest
Supporting_Schedules	Schedules and integrated calculations
Scenario & Sensitivity	Scenario selector and data tables
Monte_Carlo	5,000-iteration simulation
Dashboard	Executive dashboard
Monte_Carlo Snapshot	Stored simulation results
Dashboard_Data	Data behind dashboard visuals

Source: author's model, Cover Page navigation